## Q Can the budget revive consumption?

● **SUBHASH CHANDRA GARG:** The government continues with its package of income support to people—NREGA, Kisan Samman Nidhi, old age income support and some provident fund type of support to new and reengaged workers in EPFO-registered organisations. The free ration scheme seems like it could be discontinued from April 1. So, there's no new push to revive consumption. Whatever, minus the food support, has been there will continue.

● **N.R. BHANUMURTHY:** While there are no direct proposals (such as tax cuts or cash transfers), the overall additional gross borrowing of Rs 16.6 lakh crore should trigger private consumption through various channels, provided those proposals do not lead to inflation. However, on a durable basis, private consumption is expected to revive once jobs are created in the economy. The budget proposals, provided they are implemented quickly and efficiently, have the potential to create jobs and, hence, private consumption. Reduction in GST is one major way to revive consumption, but this is outside the purview of the budget.

● **ADITI NAYAR:** Other than the aforementioned consumption impetus of government capex,

> "There's no new push to revive consumption. Whatever, minus the food support, has been there will continue"
>
> – SUBHASH CHANDRA GARG

MNREGA remains key to imparting stability to rural non-farm consumption.

While the government has assumed a low growth of revenue spending in the budget for FY2023, higher welfare spending on free foodgrains and MNREGA, in case of a moderate to severe Covid wave in FY2023, can't be ruled out. We believe it is appropriate that such higher spending was not built into the Budget Estimates. Such allocations can always be enhanced through supplementary budgets over the course of the year, once the need arises.

● **DHARMAKIRTI JOSHI:** The budget steered clear of a definitive consumption push to support economic recovery. The subsidy bill has also been reduced 26 per cent in fiscal 2023. Nonetheless, private consumption will increase because of increased allocation to employment generating schemes such as PMAY and PMGSY.

The urban poor also needed support as almost two-thirds of the contact-based services, which have been hit hard by the pandemic, are in urban areas. The absence of any specific measures for them means they will have to wait for recovery in contact-based services for income augmentation and, thereby, consumption.

## Q Has the budget done enough to bring about a full economic recovery?

● **SUBHASH CHANDRA GARG:** India has fully recovered from the pandemic shock with India's 2021-22 GDP gaining about 1 per cent plus over pre-pandemic 2019-20 GDP. Hopefully, Covid-19 will also be behind us soon or will become endemic. It is time to get back to a normal growth path.

● **N.R. BHANUMURTHY:** The policies meant to help the economy recover from the pandemic were initiated in May 2020 when the Aatmanirbhar Bharat Package was unveiled. What this budget has done is simply continue some of those policies with more allocations. At the same time, the